

FEDERAL MARITIME COMMISSION

46 CFR PARTS 514, 580 AND 581

[DOCKET NO. 93-22]

COLOADING PRACTICES BY NON-VESSEL-OPERATING
COMMON CARRIERS; SHIPPER AFFILIATE ACCESS
TO SERVICE CONTRACTS

[DOCKET NO. 94-26]

INQUIRY INTO STATUTORY BASIS FOR COLOADING PRACTICES
AND POSSIBLE SECTION 16 EXEMPTION FOR COLOADING

AGENCY: Federal Maritime Commission.

ACTION: Notice of Inquiry.

SUMMARY: The Proposed Rule in Docket No. 93-22, which would modify and clarify the Federal Maritime Commission's coloadng regulations, is held in abeyance, pending an inquiry to explore whether existing coloadng practices are consistent with statutory requirements, and, if not, whether an exemption proceeding should be initiated. The purpose of the Inquiry is to serve notice that the Commission has preliminarily determined that coloadng practices appear to contravene the tariff filing requirements, and to provide another opportunity to the interested public to comment on whether, absent an exemption under section 16 of the 1984 Act, a statutory basis for such practices exists. The Inquiry also solicits comments on whether the Commission should initiate a proceeding under section 16 to exempt some aspect of coloadng activity from otherwise applicable

requirements if no other statutory basis for coloadng exists.

DATE: Comments due on or before [insert date 45 days after publication in the Federal Register].

ADDRESS: Send Comments (original and 20 copies) to:

Joseph C. Polking
Secretary
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5725

FOR FURTHER INFORMATION CONTACT:

Robert D. Bourgoin
General Counsel
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5740

SUPPLEMENTARY INFORMATION:

The Federal Maritime Commission ("Commission") initiated Docket No. 93-22, Coloading Practices by Non-Vessel-Operating Common Carriers; Shipper Affiliate Access to Service Contracts, for the purpose of addressing the practice of non-vessel-operating common carriers ("NVOCCs") of rating combined or consolidated cargoes under privately arranged rates rather than the rates in their tariffs. In its Notice of Proposed Rulemaking ("NPR" or "Proposed Rule"), the Commission noted that its current rules governing this practice, known as coloadng, which were promulgated in 1985, have been variously interpreted by the NVOCC industry, due in part to apparent ambiguities in the rule's definitions and attendant enumeration of responsibilities of coloadng NVOCCs.

Accordingly, the Commission proposed to revise the definition of consolidated cargo shipments which qualify to be rated off-tariff as coload cargo.

In the NPR, the Commission expressed its concern about diverse interpretations of and ambiguities in its coload rules as reflected in coload activity since 1985. The Commission also noted that a larger volume of NVOCC-carried cargo was being rated as coload cargo than was anticipated when the coload regulations were crafted, possibly resulting in an inordinate percentage of NVOCC shipments being rated irrespective of the NVOCCs' tariff rates. With coload being used as a device to gain access to other NVOCCs' service contracts, the Commission noted that consolidated cargoes being deemed coload cargo by some NVOCCs now include multiple full containerloads ("FCLs"), not just the small, less-than-containerload ("LCL") shipments that constituted the objective of the Commission's current coload rule. The Commission was also concerned that there was too wide a variety of interpretations of the regulatory responsibilities of coload NVOCCs, with some NVOCCs assiduously adhering to the regulations and others adopting practices based on looser interpretations of those somewhat ambiguous rules.

The NPR sought comment on:

1. A proposal to redefine the term "coload" to mean the combining of cargo pursuant to the rates, charges and terms of an agreement (vis-a-vis a tariff), which agreement must be in writing and made available to the Commission;

2. An alternative proposal limiting coloaded cargo to LCL cargo;
3. A proposal to prohibit coloaded cargo from being carried under a service contract; and
4. A proposal to define an "affiliate" having access to service contracts.

The Commission also sought comment on:

5. Whether to restrict applicability of time-volume rates to coloaded cargo; and
6. Whether to proscribe coloaded altogether.

The Proposed Rule generated 58 comments. Conferences of vessel-operating common carriers ("VOCCs"), and some larger NVOCCs, generally supported the Proposed Rule, but urged that the Commission go further and ban coloaded altogether. Some of these entities argued that the Shipping Act of 1984, 46 U.S.C. app. 1701 et seq. ("1984 Act"), provided no basis either for coloaded or for unaffiliated NVOCCs jointly having access to service contracts other than through the statutorily sanctioned mechanism of a shippers' association, 46 U.S.C. app. 1702(24).

Most of the comments, however, were from smaller to mid-sized NVOCCs, who opposed the Proposed Rule. With few exceptions, these parties did not address the legal ramifications of the Proposed Rule, but instead focused on what they believed to be the practical impact of the proposal on their operations. The NVOCC community's comments collectively conveyed the prevalence of coloaded, estimated as 40% or more of NVOCC carryings by one commenter, and

characterized coloadng practices as highly beneficial to the many smaller NVOCCs who rely on coloadng to remain competitive.

The threshold question remains, however, whether the very concept of coloadng is, or can be made, consistent with the 1984 Act. Section 8(a)(1) of the Act, 46 U.S.C. app. 1707(a)(1), states: "[E]ach common carrier and conference shall file with the Commission, and keep open to public inspection, tariffs showing all its rates, charges, classifications, rules, and practices" Both NVOCCs and VOCCs are defined in the 1984 Act as "common carriers." 46 U.S.C. app. 1702 (17), (18). By defining NVOCCs as common carriers, Congress quite intentionally determined to subject them to the tariff-filing provisions of section 8. The Senate Commerce Committee Report advised that "all 'common carriers,' including both vessels operators and non-vessel operators," would have to publish tariffs under the bill. S. Rep. No. 3, 98th Cong., 1st Sess. 30 (1983). That NVOCCs file tariffs under the 1984 Act is not an accidental by-product of a complicated regulatory regime; it is a deliberate statutory mandate to which the Commission, in implementing that statute, must adhere.

In 1990, Congress reiterated its intention that NVOCCs file tariffs when it enacted the Non-Vessel-Operating Common Carrier Amendments of 1990 ("1990 Amendments"), section 710 of Pub. L. No. 101-595. The 1990 Amendments were based upon the principle of NVOCC tariff filing and were devised in part to secure NVOCC compliance with section 8 of the 1984 Act.

Thus, the current statutory scheme not only includes provisions for NVOCC tariff filing, but has used that principle as the premise for other statutory proscriptions and obligations. Meanwhile, the 1984 Act makes no special provision for, or even acknowledgement of, consolidators and coloaders. The Commission rejects the arguments of some NVOCCs that this is a signal that Congress intended coloaders activity to remain unfettered by regulation or excused from the general statutory scheme. The law on its face effectively mandates that an NVOCC include in its tariff all rates and charges. Those would include not only those charged the underlying shipper, but also any rate charged another NVOCC, whatever its arrangement with that NVOCC may be. An NVOCC is given no express statutory authority to charge off-tariff rates or make private arrangements for the transportation of cargo in its capacity as a common carrier.

The Commission therefore makes the preliminary determination that the off-tariff rating of cargo by NVOCCs under the rubric of coloaders contravenes the tariff-filing requirement of section 8 of the 1984 Act.¹ If that is the case, there would appear to be no

¹ Another concern of the Commission, raised in the NPR, is that Congress established the shippers' association mechanism as the means by which unaffiliated shippers may jointly access service contracts. The NPR also expressed the view that the 1984 Act contemplates that service contract rates are available only to the shipper signatory to the contract. These issues were adequately addressed by the commenters on the Proposed Rule. Further comment on the statutory basis for coloaders activity is therefore solicited only as it relates to the issue of section 8's tariff filing requirement.

present statutory basis for either the Proposed Rule on coloadng or the Commission's existing coloadng rules as well.

Before disposing of Docket No. 93-22 in accordance with these conclusions, however, the Commission has determined to provide interested parties one final opportunity to offer legal arguments as to whether coloadng practices are currently consistent with section 8. The purpose of this endeavor is to ensure that the Commission has the benefit of all possible statutory interpretations on this issue. The policy arguments for and against coloadng, which were more than adequately explored in the comments on the Proposed Rule, should not be reiterated in this proceeding.

If, after consideration of comments received in response to this Notice, the Commission remains unpersuaded that there is a present statutory basis for coloadng, it would be its intention to explore whether a section 16 exemption is appropriate by initiating a separate proceeding under section 16 of the 1984 Act, 46 U.S.C. app. 1715, following this Inquiry. That section provides:

The Commission, upon application or on its own motion, may by order or rule exempt for the future any class of agreements between persons subject to this Act or any specified activity of those persons from any requirement of this Act if it finds that the exemption will not substantially impair effective regulation by the Commission, be unjustly discriminatory, result in a substantial reduction in competition, or be detrimental to commerce. The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States.

To this end, the Commission seeks input from interested parties on whether a section 16 exemption proceeding should be initiated to determine if some form and degree of coload activity should be exempted from the requirements of section 8 or other relevant provisions of the 1984 Act. Short of remedial legislation, section 16 would appear to provide the only possible avenue for excusing coload NVOCCs from the otherwise applicable provisions of the 1984 Act, should those provisions be found to preclude existing coload practices.

If the Commission initiates a section 16 proceeding, whether an exemption is ultimately deemed appropriate for coload activities will depend on several factors. A threshold consideration is the scope of coload activity which is proposed to be exempted. Is relief required for LCL coload only, or also for FCL coload by NVOCCs? How common is the off-tariff rating of FCL cargo as coload cargo? In assessing the need and desirability of coload, the Commission is also desirous of ascertaining the extent to which the discount rates achieved through coload inure to the benefit of the underlying shippers themselves, in addition to the coload NVOCCs.

Many NVOCCs commenting on the Proposed Rule raised the issue of certain VOCC space-chartering arrangements, which include off-tariff compensation, and which were likened to NVOCC coload arrangements. Accordingly, the Commission seeks views on whether such arrangements by VOCCs are inconsistent with the 1984 Act and

also whether those activities should be addressed in any forthcoming section 16 exemption proceeding.

The major determinant on the appropriateness of a section 16 exemption would be the applicability of the specific criteria listed in that section. Regardless of the fervency with which coloaders NVOCCs argue that coloaders is essential to their operations, no exemption may issue if doing so would substantially impair the Commission's regulatory responsibilities, result in unjust discrimination (such as between shippers, or between carriers), or fail to meet the other statutorily imposed criteria. Commenters are therefore urged to address, albeit on a preliminary basis, how exemption of the various categories of coloaders or other activity, discussed supra, would or would not meet the section 16 criteria. The Commission emphasizes that the reason for this proceeding is to give the interested public the opportunity to address these legal issues, and not merely to reiterate preferences based on the financial interests of the commenters.

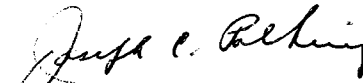
The preliminary determinations to find coloaders practices inconsistent with the 1984 Act (absent a formal section 16 exemption) and to initiate a separate section 16 exemption proceeding following this Inquiry, may be revised, if comments responding to this Notice persuade the Commission that those determinations are incorrect. The scope and breadth of any exemption proceeding to be initiated may also be expected to reflect the arguments advanced by commenting parties. During the pendency of this proceeding, the Proposed Rule will remain in

abeyance, and will be reconsidered should a resolution of these issues not result from this Inquiry.

THEREFORE, IT IS ORDERED, That this Notice of Inquiry be published in the Federal Register; and

IT IS FURTHER ORDERED, That the Proposed Rule in Docket No. 93-22 is held in abeyance pending further notice.

By the Commission.


Joseph C. Polking
Secretary

has determined that the changes made to subsection 22a-174-20(s), subsection 22a-174-20(v), and subsection 22a-174-20(ee) of Connecticut's Regulations for the Abatement of Air Pollution meet the requirements of the Act. Therefore, EPA is proposing approval under Section 110(k)(3) of those changes.

However, EPA has determined that the proposed Section 22a-174-32 does not meet all of the Act's requirements for the reasons described above. EPA believes that approval of the submitted rule will strengthen the SIP but because of the above-mentioned deficiencies, the rule does not meet the requirements of Section 182(b)(2) of the CAA. In light of such deficiencies, EPA cannot grant full approval of this rule under section 110(k)(3) and Part D. However, EPA may grant a limited approval of the submitted rule under Section 110(k)(3) and EPA's authority pursuant to Section 301(a) to adopt regulations necessary to further air quality by strengthening the SIP. The approval is limited because EPA's action also includes a limited disapproval, due to the fact that this rule does not meet the requirement of Section 182(b)(2) because of the deficiencies noted above. Thus, in order to strengthen the SIP, EPA is proposing a limited approval of Connecticut's submitted Section 22a-174-32 under Section 110(k)(3) and 301(a) of the CAA.

As stated, EPA is also proposing a limited disapproval of this rule under Sections 110(k)(3) and 301(a) of the Act because the rule contains deficiencies that have not been corrected as the Act requires. Under Section 179(a)(2), if the Administrator disapproves a submission under Section 110(k) for an area designated nonattainment based on the submission's failure to meet one or more of the elements required by the Act, the Administrator must apply one of the sanctions set forth in Section 179(b) unless the deficiency has been corrected within 18 months of such disapproval. Section 179(b) provides two sanctions available to the Administrator: highway funding and offsets. The 18-month period referred to in Section 179(a) will begin at the effective date established in this limited disapproval. Moreover, the final disapproval triggers the federal implementation plan (FIP) requirement under section 110(c).

EPA's evaluation of all the submitted regulations is detailed in a memorandum, dated June 2, 1994 entitled "Technical Support Document—Connecticut—VOC RACT Catch-ups." Copies of that document are available, upon request, from the EPA Regional Office listed in the ADDRESSES section of this action. Interested parties may participate in the Federal

rulemaking procedure by submitting written comments to the EPA Regional office listed in the ADDRESSES section of this action.

Nothing in this action should be construed as permitting or allowing or establishing a precedent for any future request for revision to any State implementation plan. Each request for revision to the State implementation plan shall be considered separately in light of specific technical, economic, and environmental factors and in relation to relevant statutory and regulatory requirements.

This action has been classified as a Table 2 action by the Regional Administrator under the procedures published in the Federal Register on January 19, 1989 (54 FR 2214-2225), as revised by an October 4, 1993, memorandum from Michael H. Shapiro, Acting Assistant Administrator for Air and Radiation. A future notice will inform the general public of these tables. The Office of Management and Budget has exempted this action from review under Executive Order 12866.

Under the Regulatory Flexibility Act, 5 U.S.C. § 600 et. seq., EPA must prepare a regulatory flexibility analysis assessing the impact of any proposed or final rule on small entities. 5 U.S.C. §§ 603 and 604. Alternatively, EPA may certify that the rule will not have a significant impact on a substantial number of small entities. Small entities include small businesses, small not-for-profit enterprises, and government entities with jurisdiction over populations of less than 50,000.

SIP approvals under Section 110 and subchapter I, Part D of the Act do not create any new requirements, but simply approve requirements that the State is already imposing. Therefore, because the federal SIP-approval does not impose any new requirements, I certify that it does not have a significant impact on any small entities affected. Moreover, due to the nature of the federal-state relationship under the CAA, preparation of a regulatory flexibility analysis would constitute federal inquiry into the economic reasonableness of state action. The Act forbids EPA to base its actions concerning SIPs on such grounds. *Union Electric Co. v. U.S. E.P.A.*, 427 U.S. 246, 256-66 (S.Ct. 1976); 42 U.S.C. § 7410(a)(2).

List of Subjects in 40 CFR Part 52

Environmental protection, Air pollution control, Hydrocarbons, Incorporation by reference, Intergovernmental regulations, Ozone, Reporting and recordkeeping

requirements, Volatile organic compounds.

Authority: 42 U.S.C. 7401-7671q.

Dated: October 6, 1994.

John P. Devillars,

Regional Administrator, Region I.

[FR Doc. 94-27684 Filed 11-8-94; 8:45 am]

BILLING CODE 6560-50-P

FEDERAL MARITIME COMMISSION

46 CFR Parts 514, 580 and 581

[Docket Nos. 93-22 and 94-26]

Coloading Practices by Non-Vessel-Operating Common Carriers; Shipper Affiliate Access to Service Contracts and Inquiry into Statutory Basis for Coloading Practices and Possible Section 16 Exemption for Coloading

AGENCY: Federal Maritime Commission.

ACTION: Notice of inquiry.

SUMMARY: The Proposed Rule in Docket No. 93-22, which would modify and clarify the Federal Maritime Commission's coloadng regulations, is held in abeyance, pending an inquiry to explore whether existing coloadng practices are consistent with statutory requirements, and, if not, whether an exemption proceeding should be initiated. The purpose of the Inquiry is to serve notice that the Commission has preliminarily determined that coloadng practices appear to contravene the tariff filing requirements, and to provide another opportunity to the interested public to comment on whether, absent an exemption under section 16 of the 1984 Act, a statutory basis for such practices exists. The Inquiry also solicits comments on whether the Commission should initiate a proceeding under section 16 to exempt some aspect of coloadng activity from otherwise applicable requirements if no other statutory basis for coloadng exists.

DATES: Comments due on or before December 27, 1994.

ADDRESSES: Send Comments (original and 20 copies) to: Joseph C. Polking, Secretary, Federal Maritime Commission, 800 North Capitol Street NW., Washington, DC 20573, (202) 523-5725.

FOR FURTHER INFORMATION CONTACT: Robert D. Bourgoin, General Counsel, Federal Maritime Commission, 800 North Capitol Street NW., Washington, DC 20573, (202) 523-5740.

SUPPLEMENTARY INFORMATION: The Federal Maritime Commission ("Commission") initiated Docket No. 93-22, *Coloading Practices by Non-*

Vessel-Operating Common Carriers; Shipper Affiliate Access to Service Contracts, for the purpose of addressing the practice of non-vessel-operating common carriers ("NVOCCs") of rating combined or consolidated cargoes under privately arranged rates rather than the rates in their tariffs. In its Notice of Proposed Rulemaking ("NPR" or "Proposed Rule"), the Commission noted that its current rules governing this practice, known as coload, which were promulgated in 1985, have been variously interpreted by the NVOCC industry, due in part to apparent ambiguities in the rule's definitions and attendant enumeration of responsibilities of coload NVOCCs.

Accordingly, the Commission proposed to revise the definition of consolidated cargo shipments which qualify to be rated off-tariff as coload cargo.

In the NPR, the Commission expressed its concern about diverse interpretations of and ambiguities in its coload rules as reflected in coload activity since 1985. The Commission also noted that a larger volume of NVOCC-carried cargo was being rated as coload cargo than was anticipated when the coload regulations were crafted, possibly resulting in an inordinate percentage of NVOCC shipments being rated irrespective of the NVOCCs' tariff rates. With coload being used as a device to gain access to other NVOCCs' service contracts, the Commission noted that consolidated cargoes being deemed coload cargo by some NVOCCs now include multiple full containerloads ("FCLs"), not just the small, less-than-containerload ("LCL") shipments that constituted the objective of the Commission's current coload rule. The Commission was also concerned that there was too wide a variety of interpretations of the regulatory responsibilities of coload NVOCCs, with some NVOCCs assiduously adhering to the regulations and others adopting practices based on looser interpretations of those somewhat ambiguous rules.

The NPR sought comment on:

1. A proposal to redefine the term "coload" to mean the combining of cargo pursuant to the rates, charges and terms of an agreement (*vis-a-vis* a tariff), which agreement must be in writing and made available to the Commission;
2. An alternative proposal limiting coload to LCL cargo;
3. A proposal to prohibit coloaded cargo from being carried under a service contract; and
4. A proposal to define an "affiliate" having access to service contracts.

The Commission also sought comment on:

5. Whether to restrict applicability of time-volume rates to coloaded cargo; and

6. Whether to proscribe coload altogether.

The Proposed Rule generated 58 comments. Conferences of vessel-operating common carriers ("VOCCs"), and some larger NVOCCs, generally supported the Proposed Rule, but urged that the Commission go further and ban coload altogether. Some of these entities argued that the Shipping Act of 1984, 46 U.S.C. app. 1701 *et seq.* ("1984 Act"), provided no basis either for coload or for unaffiliated NVOCCs jointly having access to service contracts other than through the statutorily sanctioned mechanism of a shippers' association, 46 U.S.C. app. 1702(24).

Most of the comments, however, were from smaller to mid-sized NVOCCs, who opposed the Proposed Rule. With few exceptions, these parties did not address the legal ramifications of the Proposed Rule, but instead focused on what they believed to be the practical impact of the proposal on their operations. The NVOCC community's comments collectively conveyed the prevalence of coload, estimated as 40% or more of NVOCC carryings by one commenter, and characterized coload practices as highly beneficial to the many smaller NVOCCs who rely on coload to remain competitive.

The threshold question remains, however, whether the very concept of coload is, or can be made, consistent with the 1984 Act. Section 8(a)(1) of the Act, 46 U.S.C. app. 1707(a)(1), states: "[E]ach common carrier and conference shall file with the Commission, and keep open to public inspection, tariffs showing all its rates, charges, classifications, rules, and practices * * *." Both NVOCCs and VOCCs are defined in the 1984 Act as "common carriers." 46 U.S.C. app. 1702 (17), (18). By defining NVOCCs as common carriers, Congress quite intentionally determined to subject them to the tariff-filing provisions of section 8. The Senate Commerce Committee Report advised that "all 'common carriers,' including both vessel operators and non-vessel operators," would have to publish tariffs under the bill. S. Rep. No. 3, 98th Cong., 1st Sess. 30 (1983). That NVOCCs file tariffs under the 1984 Act is not an accidental by-product of a complicated regulatory regime; it is a deliberate statutory mandate to which the Commission, in implementing that statute, must adhere.

In 1990, Congress reiterated its intention that NVOCCs file tariffs when

it enacted the Non-Vessel-Operating Common Carrier Amendments of 1990 ("1990 Amendments"), section 710 of Pub. L. No. 101-595. The 1990 Amendments were based upon the principle of NVOCC tariff filing and were devised in part to secure NVOCC compliance with section 8 of the 1984 Act.

Thus, the current statutory scheme not only includes provisions for NVOCC tariff filing, but has used that principle as the premise for other statutory proscriptions and obligations. Meanwhile, the 1984 Act makes no special provision for, or even acknowledgement of, consolidators and coload. The Commission rejects the arguments of some NVOCCs that this is a signal that Congress intended coload activity to remain unfettered by regulation or excused from the general statutory scheme. The law on its face effectively mandates that an NVOCC include in its tariff *all* rates and charges. Those would include not only those charged the underlying shipper, but also any rate charged another NVOCC, whatever its arrangement with that NVOCC may be. An NVOCC is given no express statutory authority to charge off-tariff rates or make private arrangements for the transportation of cargo in its capacity as a common carrier.

The Commission therefore makes the preliminary determination that the off-tariff rating of cargo by NVOCCs under the rubric of coload contravenes the tariff-filing requirement of section 8 of the 1984 Act.¹ If that is the case, there would appear to be no present statutory basis for either the Proposed Rule on coload or the Commission's existing coload rules as well.

Before disposing of Docket No. 93-22 in accordance with these conclusions, however, the Commission has determined to provide interested parties one final opportunity to offer legal arguments as to whether coload practices are currently consistent with section 8. The purpose of this endeavor is to ensure that the Commission has the benefit of all possible statutory interpretations on this issue. The policy arguments for and against coload, which were more than adequately

¹ Another concern of the Commission, raised in the NPR, is that Congress established the shippers' association mechanism as the means by which unaffiliated shippers may jointly access service contracts. The NPR also expressed the view that the 1984 Act contemplates that service contract rates are available only to the shipper signatory to the contract. These issues were adequately addressed by the commenters on the Proposed Rule. Further comment on the statutory basis for coload activity is therefore solicited only as it relates to the issue of section 8's tariff filing requirement.

explored in the comments on the Proposed Rule, should not be reiterated in this proceeding.

If, after consideration of comments received in response to this Notice, the Commission remains unpersuaded that there is a present statutory basis for coloadng, it would be its intention to explore whether a section 16 exemption is appropriate by initiating a separate proceeding under section 16 of the 1984 Act, 46 U.S.C. app. 1715, following this Inquiry. That section provides:

The Commission, upon application or on its own motion, may by order or rule exempt for the future any class of agreements between persons subject to this Act or any specified activity of those persons from any requirement of this Act if it finds that the exemption will not substantially impair effective regulation by the Commission, be unjustly discriminatory, result in a substantial reduction in competition, or be detrimental to commerce. The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States.

To this end, the Commission seeks input from interested parties on whether a section 16 exemption proceeding should be initiated to determine if some form and degree of coloadng activity should be exempted from the requirements of section 8 or other relevant provisions of the 1984 Act. Short of remedial legislation, section 16 would appear to provide the only possible avenue for excusing coloadng NVOCCs from the otherwise applicable provisions of the 1984 Act, should those provisions be found to preclude existing coloadng practices.

If the Commission initiates a section 16 proceeding, whether an exemption is ultimately deemed appropriate for coloadng activities will depend on several factors. A threshold consideration is the scope of coloadng activity which is proposed to be exempted. Is relief required for LCL coloadng only, or also for FCL coloadng by NVOCCs? How common is the off-tariff rating of FCL cargo as coload cargo? In assessing the need and desirability of coloadng, the Commission is also desirous of ascertaining the extent to which the discount rates achieved through coloadng inure to the benefit of the underlying shippers themselves, in addition to the coloadng NVOCCs.

Many NVOCCs commenting on the Proposed Rule raised the issue of certain VOCC space-chartering arrangements, which include off-tariff compensation, and which were likened to NVOCC

coloadng arrangements. Accordingly, the Commission seeks views on whether such arrangements by VOCCs are inconsistent with the 1984 Act and also whether those activities should be addressed in any forthcoming section 16 exemption proceeding.

The major determinant on the appropriateness of a section 16 exemption would be the applicability of the specific criteria listed in that section. Regardless of the fervency with which coloadng NVOCCs argue that coloadng is essential to their operations, no exemption may issue if doing so would substantially impair the Commission's regulatory responsibilities, result in unjust discrimination (such as between shippers, or between carriers), or fail to meet the other statutorily imposed criteria. Commenters are therefore urged to address, albeit on a preliminary basis, how exemption of the various categories of coloadng or other activity, discussed *supra*, would or would not meet the section 16 criteria. The Commission emphasizes that the reason for this proceeding is to give the interested public the opportunity to address these legal issues, and not merely to reiterate preferences based on the financial interests of the commenters.

The preliminary determinations to find coloadng practices inconsistent with the 1984 Act (absent a formal section 16 exemption) and to initiate a separate section 16 exemption proceeding following this Inquiry, may be revised, if comments responding to this notice persuade the Commission that those determinations are incorrect. The scope and breadth of any exemption proceeding to be initiated may also be expected to reflect the arguments advanced by commenting parties. During the pendency of this proceeding, the Proposed Rule will remain in abeyance, and will be reconsidered should a resolution of these issues not result from this Inquiry.

Therefore, *it is ordered*, That this Notice of Inquiry be published in the **Federal Register**; and

It is further ordered, That the Proposed Rule in Docket No. 93-22 is held in abeyance pending further notice.

By the Commission.

Joseph C. Polking,

Secretary.

[FR Doc. 94-27756 Filed 11-8-94; 8:45 am]

BILLING CODE 6730-01-M

FEDERAL COMMUNICATIONS COMMISSION

47 CFR Part 97

[PR Docket No. 92-167; RM-7680; FCC 94-274]

Special Temporary Licensing Procedure for Visiting Foreign Amateur Operations

AGENCY: Federal Communications Commission.

ACTION: Proposed rule; termination.

SUMMARY: This action terminates the proposal in this proceeding to amend the amateur service rules to provide a temporary licensing procedure for amateur operators, such as tourists and convention attendees, so that they can operate their amateur stations during brief visits to the United States. The action is necessary so that the matter will not remain in a pending status. The effect of this termination is that foreign amateur operators will continue to use the current means of obtaining operating authority, that is, obtaining a United States or a reciprocal license.

FOR FURTHER INFORMATION CONTACT:

Maurice J. DePont, Federal Communications Commission, Private Radio Bureau, Washington, DC 20554, (202) 632-4964.

SUPPLEMENTARY INFORMATION: This is a summary of the Commission's Memorandum Opinion and Order, adopted October 24, 1994, and released November 2, 1994. The complete text of this Commission action is available for inspection and copying during normal business hours in the FCC Reference Center (Room 239), 1919 M Street, NW., Washington, DC 20554. The complete text of this Memorandum Opinion and Order may also be purchased from the Commission's copy contractor, International Transcription Services, Inc. (ITS, Inc.), 2100 M Street, NW., Suite 140, Washington, DC 20037; Telephone number (202) 857-3800.

Summary of Memorandum Opinion and Order

1. The Notice of Proposed Rule Making in FCC 92-346, 57 FR 37758, published August 20, 1992, in this proceeding, addresses a need that visiting foreign amateur operators have for a convenient procedure by which they can obtain authority to operate their amateur stations while they are here in the United States for brief visits.

2. Commenters were concerned that language barriers might pose a problem for volunteer examiners who would be required to verify the foreign amateur operator's license. Also raised in the